

Unit 15**Culture and Change****Structure:**

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15.1 Introduction

In the previous unit, we dealt with the concepts of power, politics, conflict, negotiations, and stress. In this unit, we will deal with the definition and concept of culture, fundamentals of culture, fundamentals of change, and the eight steps of John Kotter on leading change.

Culture and change are two important factors that business is trying to get a grip on and any manager should be proficient in these. Ever since the book, 'In Search of Excellence', organisations have realised that those who survive and flourish over the years have a strong fundamental culture or a way of doing things. These are unique ways and different from other companies and lead to a competitive advantage. It is difficult to imitate them and therefore, these organisations continue to enjoy the competitive advantage. Change, on the other hand, is the essence of leadership. There is a belief that strong culture which gives competitive advantage and change are conflicting issues. But what if an organisation has a responsive culture to change? Then it facilitates change and organisations thrive. This is what we need to learn in this unit.

Objectives:

Learning objective are:

- To define Culture and gain an overview of its concept.
- To understand the fundamentals of Culture.

- To gain an overview of the fundamentals of Change.
- To understand the steps in creating successful change.

Learning Outcomes

After studying this unit, you will be able to:

- Define culture.
- Explain the concept of culture.
- Explain the theories of culture and what a strong or weak culture is.
- State what should be the future focus in creating a culture
- Define change and explain why it is resisted.
- Design a simple roadmap for creating change.

15.2 Definition and Concept of Culture

Organisational culture is the collective behaviour of people in an organisation, formed by the values, beliefs, visions, norms, working language, systems, and symbols and manifested in its talk, actions, and behaviour. Some try to describe it simply as 'the way we do things here'. Ravasi and Schultz (2006) suggest that organisational culture is a set of shared mental assumptions that guide the interpretation and action in organisations. It defines the appropriate behaviour for various situations. At the same time, although a company may have "its own unique culture", in larger organisations, there can be different cultures that co-exist and it could be at times, conflicting ones.

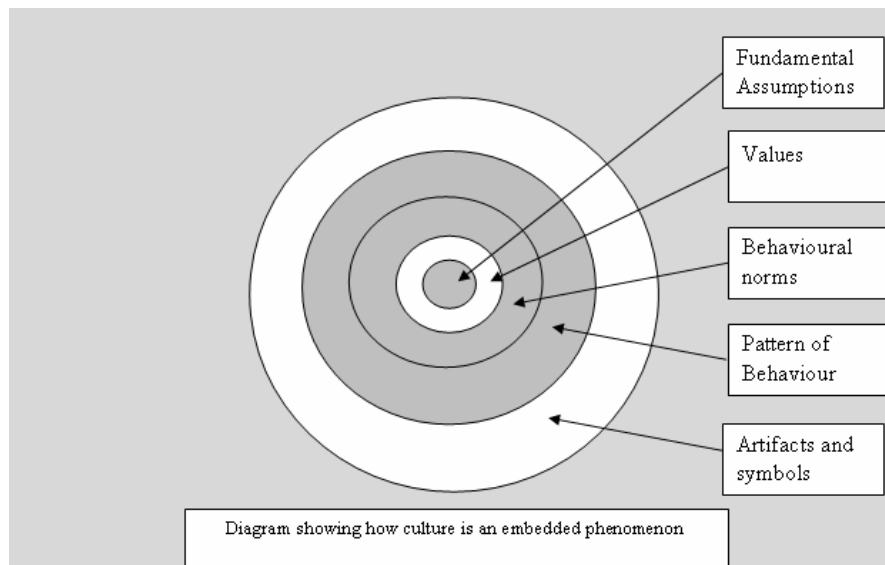
In the earlier units, we discussed about setting organisational goals/mission and the execution of those through planning. This can be done only if there is a culture since culture defines the laws in which people work in an organisation. The organisational effectiveness literature has been increasingly emphasising the importance of culture in motivating and maximising the value of its intellectual assets, particularly its human capital. This is particularly important in knowledge-intensive organisations such as publicly funded scientific laboratories.

A review of the organisational culture literature makes it clear that (1) culture is essential for both successful organisational change and maximising the value of human capital, (2) culture management should become a critical management competency, and (3) while the right culture may be a

necessary condition for organisational success, it is by no means a sufficient condition. An important challenge for managers is to determine what the most effective culture is for their organisation and when necessary, how to change the organisational culture effectively. Hence, there is a need to learn about organisational culture.

Culture is an embedded concept

Culture is something that is embedded deep in an organisation. Its core is the fundamental assumptions of an organisation. For example, the idea of trustees of the Tata Group is a fundamental assumption. From this, the values emerge. For example, the ethical and employee-friendly business value of Tata. Many try to define ethical and employee-friendly values, but their fundamental assumption may be profit and not trusteeship, and the result will be a less strong culture. This leads to defining the behavioural norms. For example, the way the group nurtured Jamshedpur is part of folklore and the pattern of behaviour. In order to give meaning to the pattern of behaviour, people have symbols, artifacts, practices, etc and usually, this is referred to as 'the Tata way', the 'Infosys' way, etc. But these 'ways', as we often describe them, are deeply embedded in the other factors which we just discussed. Together, they form the culture, which is also the reason why it is difficult to change the culture.



Self Assessment Questions

1. Ravasi and Schultz (2006) believe that organisational culture is a set of _____ that guide the interpretation and action in organisations.
2. Right culture, while a necessary condition for organisational success, is by no means_____.
3. At the core of culture lies_____of an organisation.
4. In order to give meaning to the pattern of behaviour, people have _____,_____and practices, etc.

15.3 Fundamentals of Culture**Growth of the concept**

Organisational culture became a business phenomenon in the early 1980s, triggered by four seminal books:

- Ouchi's (1981) *Theory Z: How American Business Can Meet the Japanese Challenge*
- Pascale and Athos's (1982) *The Art of Japanese Management: Applications for American Executives*
- Deal and Kennedy's (1982) *Corporate Cultures: The Rites and Rituals of Corporate Life*
- Peters and Waterman's (1982) *In Search of Excellence: Lessons from America's Best Run Companies*

The first two books suggested that Japanese business success could be attributed in large part to the Japanese corporate culture. The books recommended emulating them as a method of facing competition by corporate America. All four books suggested that corporate culture was the key to organisational performance and that corporate culture could be managed to improve a company's competitive advantage. They provided pragmatic prescriptions to American business leaders desperate for answers to help them remain successful in the face of increasing Japanese competition. These books were bestsellers and the last out sold all other non-fiction books for the year.

Increasing importance of organisational culture

Schein (1992) suggests that organisational culture is even more important today than it was in the past. Increased competition, globalisation, mergers, acquisitions, alliances, and various workforce developments have created a greater need for:

- Coordination and integration across organisational units in order to improve efficiency and quality and speed of designing, manufacturing, and delivering products and services.
- Product innovation, strategy innovation, process innovation, and the ability to successfully introduce new technologies such as information technology.
- Effective management of dispersed work units and increasing workforce diversity including managing virtual teams and telecommuters and to encourage alternative workplace concept (e.g. working from home or plugging in and working from a place other than the office).
- Cross-cultural management of global enterprises and/or multi-national partnerships which is particularly important for MNCs and transnational corporations.
- Construction of meta- or hybrid-cultures that merge aspects of cultures from what were distinct organisations prior to an acquisition or merger.
- Management of workforce diversity.
- Facilitation and support of teamwork.
- For executing high performance work systems.
- In addition to a greater need to adapt to these external and internal changes, organisational culture has become more important because an increasing number of corporations, intellectual as opposed to material assets, now constitute the main source of value.
- Maximising the value of employees as intellectual assets requires a culture that promotes their intellectual participation and facilitates both individual and organisational learning, new knowledge creation and application, and the willingness to share the knowledge with others. Culture today must play a key role in promoting:
 - Knowledge management
 - Creativity
 - Participative management
 - Leadership

Theories of organisational culture

Just as there are differing perspectives on what organisational culture is, there are differing perspectives regarding how it functions. Denison (1990) identifies four basic views of organisational culture that can be translated into four distinct hypotheses. They are:

- ***The consistency hypothesis*** – This refers to the idea that a common perspective, shared beliefs, and communal values among the organisational participants will enhance internal coordination and promote meaning and a sense of identification on the part of its members.
- ***The mission hypothesis*** – This refers to the idea that a shared sense of purpose, direction, and strategy can coordinate and galvanise the organisational members toward collective goals.
- ***The involvement/participation hypothesis*** – This refers to the idea that involvement and participation will contribute to a sense of responsibility and ownership and hence, organisational commitment and loyalty.
- ***The adaptability hypothesis*** – This refers to the idea that norms and beliefs that enhance an organisation's ability to receive, interpret, and translate signals from the environment into internal organisational and behavioural changes will promote its survival, growth, and development.

Strong vs. weak culture

Although all organisations have cultures, some have strong and more deeply rooted cultures than others. Initially, a strong culture was conceptualised as a coherent set of beliefs, values, assumptions, and practices embraced by most members of the organisation. The emphasis was on:

- The degree of consistency of beliefs, values, assumptions, and practice across the organisational members.
- The pervasiveness (number) of consistent beliefs, values, assumptions, and practices.

There is a strong belief that a strong, pervasive culture was beneficial to all organisations because it fostered motivation, commitment, identity, solidarity, and sameness which in turn, facilitated internal integration and coordination. An opposing view is that strong culture might be more

important for some types of organisations than others. Yet others suggest that strong cultures may not be always desirable because they act as a barrier to adaptation and change. Perrow (1979) suggested that a strong culture could also be a means of manipulation and co-optation. Merton (1957); March and Simon (1958) argued that it displaces goals or sub-goal formation, i.e., behavioural norms and ways of doing things become so important that they begin to overshadow the original purpose of the organisation. Culture was initially seen as a means of enhancing internal integration and coordination, but the open system view of organisations recognised that culture is also important in mediating adaptation to the environment. The traditional view of culture is that it limits the ability of organisations to adapt and change.

In contrast to the view that a strong organisational culture may be dysfunctional for contemporary business organisations, Schein (1992) argued that just because a strong organisational culture is fairly stable does not mean that the organisation will be resistant to change. It is possible for the content of a strong culture to be change-oriented, even if strong organisational cultures in the past typically were not. Thus he suggests that:

- The culture of modern organisations should be strong but limited, differentiating fundamental assumptions that are pivotal (vital to organisational survival and success) from everything else that is merely relevant (desirable but not mandatory).
- Today's organisations, characterised by rapidly changing environments and internal workforce diversity, need a strong organisational culture but one that is less pervasive in terms of prescribing particular norms and behavioural patterns than may have existed in the past.

This view was supported by Collins and Porras (1994) in their famous study (*Built to Last*) of companies that had strong and lasting performance.

Future focus for creating culture

To make a successful organisation, culture must take into account the following:

- The organisation must be proactive, not just reactive.
- The organisation must influence and manage the environment, not just adapt.
- The organisation must be pragmatic, not idealistic.

- The organisation must be future-oriented, not predominantly present/past oriented.
- The organisation must embrace diversity, not uniformity.
- The organisation must be relationship-oriented, not just task-oriented.
- The organisation must embrace external connectivity as well as promote internal integration.
- The organisation must be team-oriented.
- The organisation must be knowledge and learning-oriented.
- The organisation must be alliance and partnership-oriented.
- The organisation must know when to emphasise and how to balance cultural maintenance and cultural innovation (Trice and Beyer 1991; Collins and Porras 1994).

Managers must actively work to keep the existing organisation culture relevant to the present and future while maintaining some sense of continuity with the past. Collins and Porras (1994) found that companies with long-term success had a limited but strong set of timeless core values that did not prevent organisational change over time. These companies were able to preserve the core while stimulating progress.

Self Assessment Questions

5. Schein argues that culture of modern organisations should be strong on _____ issues.
6. Collins and Porras (1994) found that companies with long-term success had a limited but strong set of timeless core values that did not prevent organisational _____ over time.

15.4 Fundamentals of Change

Organisational change may be defined as “the adoption of a new idea or a behaviour by an organisation” (Daft 1995). It is a way of altering an existing organisation to increase the organisational effectiveness for achieving its objectives.

Forces of change

Forces for change can be internal or external.

Internal forces

The internal forces are as follows:

- ***Change in the top management*** – Change in the top management and consequent change in the ideas to run the organisation. For example, change of Satyam top management.
- ***Change in the size of the organisation*** – Change in the organisation's size leads to change in the internal structure and complexity of the operations in the organisation. For example, Tata acquiring Chorus will lead to change in Tata.
- ***Performance gaps*** – When a gap between the set target and actual results (in terms of market share, employee productivity, and profit) is identified, organisations face the forces to change and reduce the gap. For example, Kingfisher Airlines.
- ***Employee needs and values*** – With changing needs and values of the employees, organisations change their policies. For example, attractive financial incentives, challenging assignments, vertical growth opportunities, and autonomy at work may be provided in an organisation to attract and retain its effective employees.
- ***Deficiency in the existing organisation*** – Sometimes, changes are necessary because of deficiency in the present organisational arrangement and process. These deficiencies may be in the form of unmanageable span of management, large number of managerial levels, lack of co-ordination between various departments, obstacles in communication, multiplicity of committees, lack of uniformity in policy decisions, lack of co-operation between line and staff, etc.
- ***Change/addition to business*** – If you change the business or add businesses, these will force a change in the organisation.

External forces

These are as follows:

- **Political and legal environment**
When this changes, business has to adapt and change. For example, if there is a labour law change or if the international law of taxation changes or the country signs agreements with other countries leading to export/import of goods, induction of FDI, etc, the organisation has to change.

- **Economic**

When the economic changes take place, the companies have to change. For example, when the economic downturn took place in the world in 2008, many changes were incorporated in India also.

- **Social**

With social awareness such as rules of acquisition of land and attitude towards mining and when more inclusiveness is warranted by the society, etc, business has to change.

- **Technology**

In today's world, technology leads and compels many changes such as the change created due to mobile phones, ATMs, etc.

Resistance to change

Resistance to change may be of two types. They are:

- Individual resistance
- Organisational resistance

Let us now discuss these two types in brief.

- **Individual resistance** – Change leads to insecurity among the employees as they may have to work in a different way which they do not like. For example, resistance to use of computers by the older generation of bank employees.
- **Organisational resistance** – Change may bring some potential threat to the organisational power to some people. Therefore, people try to resist change.

Factors for resistance to change

These can be broadly classified into:

- Economic factors
- Psychological factors
- Social factors

Let us now discuss each of these factors in brief.

- **Economic factors** – People feel attached to the organisation for satisfying their needs and economic needs - physiological, job security, etc. People may perceive that they will be adversely affected by the change in terms of their needs satisfaction in the following ways:

- **Skill obsolescence** – A change is generally meant for better methods of working which may involve new techniques, technology, etc, and they may feel that the new machine degrades their job.
- **Fear of economic loss** – A change may create fear of economic loss in the sense that it may affect economic compensation adversely, reduce job options, etc as it happens when a new technology is introduced.
- **Reduced opportunities for incentives** – Employees are generally offered incentives linked to their output in the form of incentive schemes, bonus, etc, and the change may reduce these.
- **Psychological factors** – Psychological factors are based on people's emotions, sentiments, and attitudes towards change.
 - **Ego defensiveness** – A change may affect the ego of the people affected by the change and in order to defend their ego, people resist change.
 - **Status quo** – People want status quo, i.e., they do not want any disturbance in their existing equilibrium of life and work pattern. The change initiated by the organisation disturbs such equilibrium and people have to obtain another equilibrium which is a painful exercise. Therefore, everyone tries to avoid it.
 - **Low tolerance for change** – In the context of maintaining status quo, people may differ. Some people have very low level of tolerance for change and ambiguity as compared to others. Therefore, these people resist any new idea.
 - **Lack of trust in change agent** – The effect of change is perceived in the context of change agent, that is, the person who initiates change. If people have low degree of confidence in the change agent, they show resistance to change efforts. This is the reason why labour union resists changes initiated by management because of the feeling that labour and management are two different interest groups in the organisation.
 - **Fear of unknown** – A change may be perceived as entering into uncharted area which is unknown. The change will bring results in the future, which is always uncertain. This lack of certainty creates anxiety and stress in the minds of people, and

they want to avoid it. The lack of adequate information about the likely impact of change further complicates the problems.

- **Social factors** – People derive need satisfaction, particularly social needs, through their mutual compatible interactions. They form their own social groups at the work place for the satisfaction of their social needs. To the extent the satisfaction of these needs is affected by a change, people resist it. The major factors causing resistance to change are the desire to retain existing social interaction and the feeling of outside interference.
 - **Desire to maintain existing social interaction** – People desire to maintain existing social interaction since it is a satisfying one. When there is any change, their existing social interactions are likely to be changed, which people do not want. Therefore, they resist change.
 - **Feeling of outside interference** – A change brought about by the change agent is considered to be interference in the working of people. This phenomenon is heightened if the change agent belongs to another social class. For example, the change initiated by managers affecting workers.

Basic model of change

Lewin (1951) proposed a three-step sequential model of change process as given in Figure 15.1.

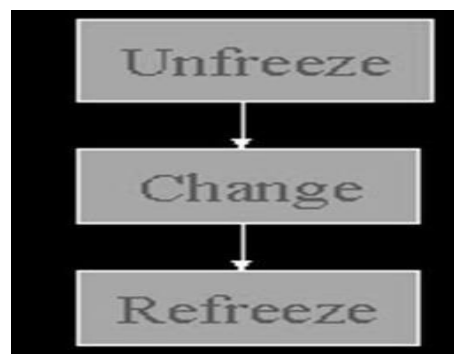


Fig. 15.1: Steps for Change

The three steps are:

- **Unfreezing** – At this stage, the forces, which maintain the status quo in the organisational behaviour, are reduced by refuting the present attitude and behaviour to create a perceived need for something new. It

is facilitated by environmental pressure such as increasing competition, declining productivity and performance, feeling the need to improve the style of work, etc. Some measures which are quite helpful in undertaking the unfreezing process are as follows:

- The physical removal of the individuals being changed from their accustomed routines, sources of information, and social relationships.
 - The undermining and destruction of social support.
 - Demeaning and humiliating experiences to help individuals to see their old attitudes or behaviour as unworthy and think to be motivated to change.
 - The consistent linking of reward with willingness to change and of punishment with lack of willingness to change.
- **Changing/moving** – This stage involves a shift in the behaviour of organisations by modifying system, process, technology, and people. This happens when change is actually executed or complied with.
 - **Refreezing** – At this stage, the changes are institutionalised and are made part of the culture so that people do not fall back to the old ways.

Self Assessment Questions

7. Organisational change may be defined as the adoption of a _____ or _____ by an organisation.
8. Four important external forces of change are political, economic, social, and _____.
9. Factors for resistance of change can be broadly classified into three namely economic, _____, and social.
10. Basic model of change has _____ steps.

15.5 Eight Steps of John Kotter on Leading Change

We will discuss these steps in some detail because today, it is the leading literature on change and several change management courses and training programmes are conducted on its basis.

Change is something that all of us have to cope. Organisations and people attempt to change but the failure rate is very high. Why does it happen? John Kotter, after studying over 180 organisations that attempted change

(some of them which failed), has been able to identify a pattern of successful change in organisations. He has converted it into 8 steps. These are discussed below. The workshop is modeled on the same lines and is an internationally accepted method to facilitate change.

Step one: Create urgency

For change to happen, the organisation should feel a need and feel that this need is urgent. This is true at all levels. For example, Lokpal bill is something that has hanged fire for over 40 years, and it was Team Anna who created a sense of urgency for it. Similarly, many organisations where fundamental changes have taken place did so after someone, usually the CEO and the top management team, created a sense of urgency for it. Quite understandably, those who are at the lower level cannot see as well as those on top and therefore, it is only natural that the consequences of not changing can best be seen by those on top. But if there is myopia for those on top, then it is quite impossible to lead those below.

A sense of urgency cannot be created if you talk of global competition or even slowing sales. This, at best, leads to the sales team moving to better pastures and the operations people living as if nothing has happened. There has to be honest and convincing dialogue between the managers and the people about what is happening in the market, what is happening to us, what could happen to us in the not-so-distant future and the consequences of it for us as a family. If people start talking about it and talk about it purposefully, in forums, in the canteen, in the workplace and at home, be sure, your step 1 is a great success.

What you can do?

You can do a lot. You can identify the potential threats based on scenarios and vividly describe these. You could ask people to explore opportunities that could be used. You could give strong data support or even paint the 'far superior state one would be in' after the change. After all, people need support to change or feel the need for it. Take the case of an obese person. Does he or she go on diet or exercise on his or her own? Often this does not happen. It happens when someone convinces of its dangers and the benefits of losing weight. The pain is difficult to take, but after one loses 10 Kg, one speaks of it with great pride. So change requires support from several quarters and leaders are the best quarter.

Kotter finds that for change to take off, 75% of a company's people and particularly the managers have to buy into the change idea. Well, you have to work hard to achieve this figure. You don't have to panic or jump in too fast and create short-term losses though some great leaders have created short-term book losses to press home their point about the need to change.

Step two: Form a powerful coalition

Do generals go to war alone? Can you go into change alone? This is where the need for a strong leadership who is courageous enough to enlist the support of several top managers matter. You have to be at the forefront of it all to get the support of the people. In other words, you cannot manage change, you have to lead it.

If you keep your eyes and ears open, you can see effective top management change leaders throughout the organisation and at every level of the hierarchy. Enlist them. I do agree that some of them may get enlisted wrongly, though they do not really support the change, but apparently show great enthusiasm for it for they want to be in the crowd. Be careful of such people for their actions will differ from words and when the managers don't walk the talk, the shop floor people will dump your idea. Here, the top management has to have level 5 leadership style propounded by Jim Collins. Level 5 leaders are extremely humble in their personal life but ruthless in organisational goals. They get the right people into the bus but more importantly, get the wrong people out, before they drive to their destination.

So, to lead the change, you should get a team of influential people. Their power may come from job title, status, expertise, political importance, communication competence, etc. This team is what we call the 'guiding coalition'. They have to work as a team (not group). They have to continue to build urgency and create momentum and change.

What you can do?

So you need to get some real guys and girls on board. They should be committed leaders and should be willing to work in the coalition. The team should be a great mix of people from different departments and different levels and should invariably have the opinion leaders. If you are a unionised company, get the top union guys on board. That's the way to go. Don't belittle anyone's capability to facilitate or block change.

Step three: Create a vision for change

People, whether employees or family members, want to know two things – What is it and why is it. If they are convinced of these, then they perhaps accept the ‘how’ of it that you might dictate to them. In other words, participation of people on how to do a thing in a changed way is contingent upon their understanding of what it is and feeling convinced why.

For this, we need a clear vision that can be understood by everyone. Having said that, one must admit that vision building is a rather interesting but tedious process. It is interesting because it answers the question of what the organisation is all about and you discover the organisation anew. It is tedious because it has to cater to the requirements and view a lot of stakeholders. But its power is something like the power of a man who has discovered himself.

What you can do?

Decide on the values that are central and how the values will be better served by the change. Equally determine the purpose of the organisation and how these purposes will be better served by the change. Then, make a short summary of it and perhaps refine it such that people can understand it and get inspired by it. Once your vision and mission is in place, the cycle of strategy, structure, and systems will take over more easily.

Step four: Communicate the vision

What you do with the vision determines its success. First and foremost, one must communicate it. Now the biggest competitor to the vision itself is the other ‘day-to-day communication’. The next barrier is those managers who fail to walk the talk. For example, talk of teamwork but rewards only individual performance. So you not only need to communicate frequently but also create channels without any clash. It should be done both formally and informally. Here, the role of guiding coalition who can make effective informal communication is vital. One-on-one communication is the key here. Frequency, persuasion, conviction of the communicator, etc play a role. Keep it fresh and boiling and never keep it in the fridge as it will take a lot of time to reheat.

What you can do?

You should talk of change and its benefits and the vision often; talk of it at all levels and could have some vision building sessions. Be open and

honest and address people's concerns and of course, anxiety and fears. Apply the vision to all aspects of the corporate from training to performance reviews. Tie everything back to the vision. Last but not least, 'lead by example'.

Step five: Remove obstacles

Once you have kick started the exercise and progressed, your staff would want to change and enjoy the benefits that you have been promising. But there would always be people who are resisting change. Structures, systems, and processes will also be resisting. Here the leader has to play the role of obstacle remover which involves, at times, dropping some people from the organisation. It is like the train that you want to pilot. You may have some ticketless passengers which you might tolerate, but if you have someone who pulls the chain, you have to take the hard decision of getting him down. If you create strong structures, systems, and processes, it would be easier to change.

What you can do?

The first thing that we can do is to identify change leaders. Look at the organisational structure, job descriptions, performance, and compensation to ensure they are in line with the vision. Recognise and reward the change supporters and identify the change resistors and let them get the message through the reward management system. Take action quickly. It is important to be prompt to send the message.

Step six: Create short-term wins

Success begets success. Morale goes up, motivation rise, and performance increase when one has one success after the other. Create them by planning systematic small wins. Changed condition is not one avalanche that ends up in something huge. It is the accumulation of small but frequent wins. Without the small wins, the critics will get the better of you. People want to see results.

What you can do?

To get short-term wins, look at sure-fire projects and implement them without help from any strong critics. Select the projects which can be implemented without the help of the critics. Choose simple targets which justify the investment and get the results. Ensure that the project can have

early results. Reward those who achieve the wins openly and with enthusiasm.

Step seven: Don't declare victory too early

Many change projects fail because the victory is declared too early. Real change takes time to percolate. When you have quick wins, you might be disoriented; but do not mix it up with the ultimate success. Let not the victorious battles be construed as victory of the war. For example, you can launch a new product in a shortened cycle. Surely, it is a success but it is a true win only if you can do that several times over. Each success gives an opportunity to ride on the success and keep on building.

What you can do?

Every win should make you ask what went right and what went wrong and how we can improve. Set goals to continue building on the momentum.

Step eight: Anchor the changes in corporate culture

Since change is inherently dynamic, there is a danger of it falling back. To make it stick, change the core of the organisational culture. We must make every effort to ensure that change is seen in every aspect of your organisation. The leaders should continue to support change, talk of what it has done to you and what it can do to you further, and keep the fire burning for quite a long time before it gets into the culture. Once it becomes the part of the culture, things move on. If we lose the support of the people, we will end up where we started.

What you can do?

Talk about progress at every chance you get. Tell success stories about the change process, and repeat the other stories that you hear. Include change ideals and values while hiring new staff, include these into the fundamental competencies of an employee and plan the succession so that the change gets on smoothly.

Self Assessment Questions

11. John Kotter suggests _____ steps for creating change.
12. For change to take off, _____ % of a company's people and particularly the managers have to buy into the change idea.

13. Reward management is an effective tool in change management.
(True/False)
14. Anchoring change in _____ is an important step in change management.

15.6 Case Study

Maverick Learning

Maverick Learning is involved in imparting under graduate level education through distance learning. It has been working for around two decades. It is an immensely popular educational group whose students range from working professionals to people residing in the remote areas of the country. Maverick Learning decides to introduce technology-enabled learning with a vision to create a virtual class room experience. Another reason is to keep its pace with the competitors and sustain them in the information communication revolution.

It has been over a year that they are working on developing and implementing the plan. It involves big amount of investments as well as more manpower with different skill sets. It is a tough challenge but to adopt this technological change is mandatory for Maverick learning.

At different levels, there are mixed reactions towards the change. For old academicians, it is difficult to catch up with the change and prepare the e-content. Even at higher level there are financial constraints which put the limitation for hiring more employees or outsourcing the work.

In the academic council meeting, most of the academicians say that preparing e-content is duplication of work, technology-enabled learning is useless because many students from remote areas cannot access it. They say whatever requirements the learning consultants are putting before them cannot be implemented.

Mr. Shantaram is leading the academics, and he picks few people from the team to coordinate the tasks related to academics. Within a month, the response improves, raising the number of logins by ten times.

Mr. Shantaram again calls a meeting of all academicians and shares the interesting results. This time, he also makes more teams and allocates responsibility amongst the old academicians. He promises to hire two more

people to provide technical assistance. He also introduces some credit points to recognise the efforts people make towards enriching the e-content.

Discussion Questions:

1. What kind of reactions towards change is seen in this case?
2. What steps are taken by Mr. Shantaram to drive the change successfully?
3. What steps shall be taken to overcome resistance to change?
4. Do you find any examples in this case that illustrates taking steps to overcome resistance?

15.7 Summary

Let us recapitulate the important concepts discussed in this unit:

- Organisational culture is the collective behaviour of people in an organisation, formed by the values, beliefs, visions, norms, working language, systems, and symbols and manifested in its talk, actions, and behaviour.
- Organisational culture is important for greater coordination and integration, product innovation, effective management of dispersed work units, facilitation and support of teamwork, execution of high performance work systems, maximising value of employees, cross cultural management.
- Organisational change is a way of altering an existing organisation to increase the organisational effectiveness for achieving its objectives.
- Forces of change may be internal or external. Internal forces are change in top management, size of organisation, performance gaps, employee needs and values, deficiency in existing organisation, change in business.
- External forces are political and legal, economic, social and technological environment.
- Resistance to change are of two types – individual and organisational.
- Factors responsible for resistance to change are economic, social and psychological.
- The three steps in organisational change are unfreeze, change and refreeze.

- John Kotter's eight steps on leading change involves creating urgency, forming powerful coalition, creating a vision for change, communicating the vision, removing obstacles, creating short term wins, declaring victory, anchoring changes.

15.8 Glossary

- **Refreezing:** The process of making new behaviours relatively permanent and resistant to further change.
- **Unfreezing:** The process by which people become aware of the need for change.

15.9 Terminal Questions

1. Explain the concept of culture.
2. What are the social factors that lead to resistance to change ?
3. What are the social factors that lead to resistance to change ?
4. Explain Lewin's Model of Change.

15.9 Answers

Self Assessment Questions

1. Shared mental assumptions
2. Sufficient
3. Fundamental assumptions.
4. Symbols, artifacts
5. Pivotal
6. Change
7. new idea or a behavior
8. Technology
9. Psychological
10. Three
11. Eight
12. 75
13. True
14. Corporate culture

Terminal Questions

1. Organisational culture is the collective behaviour of people in an organization formed by values, beliefs etc. Refer section 15.2 for more details.
2. External forces of change are economic, social, political, legal and technological environment. Refer section 15.4 for more details.
3. The social factors are the desire to maintain existing social interaction and feeling of outside interference. Refer section 15.4 for more details.
4. Lewin's model of change proposed three steps in change process – unfreezing, change and refreeze. Refer section 15.4 for more details.

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